

Cigar Stores' stock, which later proved to be practically worthless, but these additional holdings did not, of course, detract from the value of its American Tobacco lease.)

**Relative Importance of Situations of This Kind.** The field of study represented by the foregoing examples is not important quantitatively, because, after all, only a very small percentage of the companies examined will fall within this group. Situations of this kind arise with sufficient frequency, however, to give this discussion practical value. It should be useful also in illustrating again the wide technical difference between the critical approach of security analysis and the highly superficial reactions and valuations of the stock market.

**Two Lines of Conduct Suggested.** When it can be shown that certain conditions, such as those last discussed, tend to give rise to undervaluations in the market, two different lines of conduct are thereby suggested. We have first an opportunity for the securities analyst to detect these undervaluations and eventually to profit from them. But there is also the indication that the financial set-up that causes this undervaluation is erroneous and that the stockholders' interests require the correction of this error. The very fact that a company constituted like Northern Pipe Line or Lackawanna Securities tends to sell in the market far below its true value proves as strongly as possible that the whole arrangement is wrong from the stand-point of the owners of the business.

At the bottom of these cases there is a basic principle of consistency involved. It is inconsistent for most of the capital of a pipe-line enterprise actually to be employed in the ownership of gilt-edged bonds. The whole set-up of Lackawanna Securities was also inconsistent, because it replaced a presumably high-grade bond issue, which investors might be willing to buy at a fair price, by a nondescript stock issue which no one would purchase except at an exceptionally low price. (In addition a heavy and needless burden of corporate income tax was involved, as was true in the Tobacco Products case.)

Illogical arrangements of this kind should be recognized by the real parties in interest, *i.e.*, the stockholders, and they should insist that the anomaly be rectified. This was finally done in the three examples just given. In the case of Northern Pipe Line the capital not needed in the pipe-line business was returned to the stockholders by means of special distri-